

Virginia Theological Seminary

Travel Policies and Procedures

GUIDELINES

I. General

The Seminary's travel policy provides for necessary and reasonable travel expenses incurred for authorized Seminary business. The intent of these guidelines is that payment be fair, equitable, and efficient for both the traveler and the Seminary. These guidelines have been designed to be easy to understand and administer.

The Seminary recognizes that employees who travel from home on authorized business must forego their living accommodations and may forfeit personal time. Accordingly, the Seminary will assume the cost of appropriate accommodations. However, such accommodations are not intended to be perquisites and the Seminary reserves the right to deny reimbursement of expenses that are considered lavish, extravagant, or are unsupported by required documentation.

II. Scope

These guidelines apply to all travel expenses regardless of the source of funds. At their discretion, departments may impose more restrictive guidelines for budgetary or control reasons.

III. Purpose

The purpose of these guidelines includes:

- Providing guidance to travelers, travel arrangers, approvers, and auditors on cost-effective management of travel expenses.
- Defining the responsibility and accountability of the traveler and the authorizer of Seminary business travel.
- Defining the consequences of not adhering to the guidelines.
- Setting the rates of reimbursement for mileage and meal per diems for employee and Trustee travel on Seminary business.

IV. Authorization and Responsibility

Traveler - A traveler on Seminary-related business has the responsibility to act prudently and incur expenses that are necessary, appropriate, and reasonable. Travel arrangements should use the most cost-efficient means available to meet the programmatic requirements of the trip. The traveler is responsible for prompt submission of travel-related expenses.

Department - Authority and responsibility for approval and control of travel by employees rests with the supervisor or manager of the account to which the expense is to be charged, usually the department

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head. Travel expenses are payable only when required approval(s) are appropriately obtained. Employees may not authorize travel or approve travel expenses for themselves.

V. Non-exempt employees

Employees in positions classified as nonexempt under the Fair Labor Standards Act are eligible for compensation for the time they spend traveling. The compensation an employee receives depends on the kind of travel and whether the travel time takes place within normal work hours.

“Normal work hours.” for the purposes of this policy, are defined as 8:30 a.m. to 5:30 p.m. This definition applies to normal workdays (Monday through Friday) and to weekends (Saturday and Sunday). Staff in departments (i.e. Facilities, Butterfly House, etc) that work outside of these will need to consult with Human Resources to determine their “normal work hours.”

“Travel time” is defined as including the time the employee arrives at the airport to the time the employee reaches his or her destination. If an employee is traveling *to* a location, then the destination is either the hotel or the worksite (if the employee travels directly from the airport to work). If the employee is returning home *from* a location, the destination is the airport of final arrival.

If an employee is traveling by air and no flights are available from or to the airport nearest the employee’s residence, then travel between the employee’s residence and the airport is considered travel time and is eligible for compensation in accordance with the policy guidelines below.

Travel between home and work or between the hotel and worksite is considered normal commuting time and is not eligible for compensation.

If an employee requests a specific travel itinerary or mode of transportation that is different from the one authorized by the company, only the estimated travel time associated with the itinerary and mode of transportation that has been authorized will be eligible for compensation.

Travel Time Within Normal Work Hours is defined as any portion of authorized travel time that takes place within normal work hours (as defined above) on any day of the week, including Saturday and Sunday. Travel time within normal work hours will be paid at the employee’s regular hourly rate and will be factored into overtime calculations.

When an employee travels between two or more time zones, the time zone associated with the point of departure should be used to determine whether the travel falls within normal work hours.

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Travel Time Outside of Normal Work Hours is defined as any portion of authorized travel time (with the exception of driving time) that takes place outside of normal work hours.

When a nonexempt employee is required to travel as a passenger in an automobile, plane or any other mode of transportation *outside* of normal work hours, he or she will be compensated at *one-half* his or her regular hourly rate for that portion of travel time that takes place outside of normal work hours. Unlike work hours, outside travel hours are not factored into overtime calculations.

When an employee travels between two or more time zones, the time zone associated with the point of departure should be used to determine whether the travel falls outside of normal work hours.

Travel Time as the Driver of an Automobile (as the driver, not as a passenger) is treated as work hours, regardless of whether the travel takes place within normal work hours or outside normal work hours. An employee will receive his or her regular hourly rate for all travel time spent as the driver of an automobile, and this time will be factored into overtime calculations.

Travel as a *passenger* in an automobile is not automatically treated as work hours. Travel as a passenger in an automobile is treated the same as all other forms of travel, and compensation depends on whether the travel time takes place within normal work hours.

If an employee drives a car as a matter of personal preference when an authorized flight or other travel mode is available, and the travel time by car would exceed that of the authorized mode, only the estimated travel time associated with the authorized mode will be eligible for compensation.

Calculating and Reporting Travel Time – Employees are responsible for accurately tracking, calculating and reporting travel time on their timesheets in accordance with this policy.

Meal periods should be deducted from all travel time.

If an employee requests a specific travel itinerary or mode that is different from the one authorized, only the estimated travel time associated with the authorized schedule, route and mode of transportation should be reported on the timesheet.

Travel time should be calculated by rounding up to the nearest quarter hour.

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VI. Accountability

Departments - Accountability for carrying out the Seminary travel guidelines rests with the department head. Required documentation of travel expenses will be retained in accordance with US laws and written VTS procedures and is subject to internal and external audits.

Traveler - Travelers are liable for overpayments that may be discovered in a post-audit review. Discovery of fraudulent practice by travelers while on authorized Seminary business is cause for dismissal as well as other consequences that may be determined.

VII. Vacation Days

The Seminary understands that travelers may want to add vacation days to their trip (by arriving a day earlier or adding a weekend). On these occasions, the traveler is responsible for all the expenses of these vacation. The per diem must not be claimed. Supervisors are responsible for checking that all the days are workdays.

VIII. Per Diem/Meals & Incidental Expenses

Per diem is the allowance for meals and incidental expenses while on Seminary travel outside the local area. Faculty and staff traveling on Seminary business will be reimbursed at the daily federal per diem amount for the relevant city. The per diem rates can be found on the government site:

<https://www.gsa.gov/travel/plan-book/per-diem-rates>

For travel days, 75% of the per diem may be claimed. On occasions when the journey starts before 9am, then the full per diem may be claimed.

The per diem may be claimed in advance of the trip; and all meals and incidental expenses are then the traveler's responsibility (the Seminary credit card must not be used). On those occasions when the traveler has an authorized responsibility to entertain a guest of the Seminary, then the per diem for that meal does not apply. When claiming the per diem for the rest of the day, the traveler should discount the meal where there was entertainment of a Seminary guest.

IX. Mileage Reimbursement

The Seminary expects all employees to seek to use the Seminary car before opting for a car rental or her or his own vehicle. This can be booked out through the Welcome Center reception.

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Personal Vehicle Use

Reimbursement for personal vehicle use will be reimbursed at the then current rate established by the United States Internal Revenue Service, which rate shall be deemed to include the cost of fuel and other operating expenses of the motor vehicle. The Business Office will publicize changes to vehicle reimbursement rates as necessary.

X. Exceptions

Exceptions to the above-described procedures requires the approval of the Dean and President or the Vice President for Finance, Administration & Operations.

General Expense Guidelines

Travel is a necessary operation of the Seminary. The Seminary has no intention of denying any employee reimbursement for official Seminary travel. Similarly, the Seminary does not intend to compensate employees for the inconvenience of travel, per se, or for personal (non-Seminary) expenses incurred while traveling on behalf of the Seminary. Travel expenses must be directly related to the Seminary's interest. When deciding whether or not to request reimbursement for an item, an employee should be able to answer yes to each of the following questions:

1. Was the expenditure necessary to the conduct of Seminary business?
2. Would a prudent employee have incurred this expense?
3. Did I actually spend this amount of money?
4. Is it reasonable to request and to expect travel reimbursement?

Questionable items must be resolved with the appropriate Department Head or Vice President for Finance, Administration & Operations before the expense is incurred.

Timeliness of Travel Submissions

All travel expense reimbursements to employees must be accounted for within "a reasonable period of time" of when the expense was incurred. For IRS purposes, a reasonable amount of time is considered to be 120 days. Accordingly, all reimbursement requests must be received within 120 days of when the expense was incurred. Travel Reimbursement requests that are submitted after 120 days will still be

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accepted but the IRS requires that the reimbursement be treated as taxable to the individual receiving payment. This will result in those amounts being taxed and will be added to the taxable gross income on the employees W-2.

Travel Status

Unless they are attending a local conference or retreat, employees are considered to be on travel status only if they are traveling on approved Seminary business away from both home and the traveler's normal campus address. For the purpose of clarifying policy for out of state, overnight travel, "away" will be defined as a distance of fifty miles. This means that an employee may be reimbursed for both lodging and meals only if the destination is fifty miles or more from either the employee's home or the Seminary. When personal and business travel is combined, expenses must be clearly documented and may not exceed the lowest available cost of a direct or uninterrupted route. If the traveler uses an indirect route or interrupts travel for personal convenience, any additional expenses incurred are the sole responsibility of the traveler.

Ground Transportation

Travelers are expected to utilize the least expensive, most direct, and efficient means of transportation available. This includes rental vehicles, Seminary-owned vehicles, taxis, limousines, and transporter services.

Employees traveling to the same destination should consider sharing ground transportation when possible.

Personal Vehicle

Personal use of automobiles is permitted and reimbursed on a mileage basis at the effective Internal Revenue Service mileage rate. The current reimbursement rate can be found at:

<https://www.irs.gov/tax-professionals/standard-mileage-rates>.

This mileage rate covers all automobile expenses such as fuel, maintenance, towing, repairs, tires, depreciation, and insurance. No reimbursement will be made for vehicle repair costs regardless of whether it results from the traveler's act or acts of others.

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In addition to the standard mileage allowance, tolls and parking fees are also reimbursable expenses. The Seminary will not reimburse employees for parking tickets, fines for moving violations or vehicle towing charges.

Mileage is measured from the employee's home to the destination and return. Or, from the Seminary to the destination and return, whichever is less. Mileage between an employee's residence and place of work is not reimbursed.

When **two or more passengers** travel in one private automobile on official Seminary business, only one employee may claim reimbursement for mileage.

Personal vehicles may be used in lieu of commercial airline travel. Mileage will be reimbursed at the established current rate but should cost the Seminary no more than the commercial coach/economy airline fare. Similarly, transportation by bus, train, or other means will be reimbursed for the actual cost but no more than the commercial coach/economy airfare.

Seminary Vehicle

When available, the traveler should utilize Seminary owned vehicles. Any operator driving a Seminary-owned vehicle must be employed by, or working on behalf of, the Seminary. The operator must also have a valid driver's license, comply with all traffic laws, and obtain approval as required by the department who owns the vehicle. Seminary-owned vehicles are to be used for official business only. Operators of such vehicles should only transport passengers who are also traveling on official business.

A mileage log must be maintained for each Seminary-owned vehicle, identifying the date and purpose of each trip and the beginning and ending odometer reading.

Reimbursement will be allowed for necessary expenses incurred while using a Seminary-owned vehicle. These include fuel, oil, windshield washer fluid, parking fees, toll charges, and reasonable charges for car washing. All fuel receipts for seminary vehicles that are submitted for reimbursement must have the vehicle registration number written on the receipt.

Any accident occurring in a Seminary vehicle must be reported to the VTS Business Office, with written details provided within one day of the accident.

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Taxi/Limousine/Transporter Services

The costs of taxis or other transportation to and from hotels, airports, or railroad stations in connection with business activities is reimbursable. The costs of limousine or transporter services are allowed as a reimbursable expense only if the cost is less than, or equal to, the cost of a customary taxi charge. Long-term airport parking should be avoided. Alternative arrangements for travel to airports should be considered when airport parking charges would exceed the cost of a round-trip taxi or limousine service.

Rental Vehicles

The use of a rental car should be justified as an economical and/or business necessity. Travelers will be reimbursed for the rental of a compact, economy, or mid-sized car. Travelers who choose to upgrade to a full-size, luxury, or sport utility vehicle will not be reimbursed for the difference in price unless the traveler provides a specific business or medical reason for the upgrade, which must be explained on the expense reimbursement. Reimbursable items include the rental fee, fuel charges, tolls, and parking. Non-reimbursable items include tickets, fines, and car repairs.

Vehicle Insurance Information

In general, there are two types of insurance needed for a vehicle. Liability Insurance and Physical Damage Insurance (Collision and Comprehensive).

Rented Vehicles

Liability Insurance--The Seminary has a hired and non-owned **Liability** insurance policy for vehicles rented for Seminary business. We have a generic Certificate of Insurance to evidence this coverage. We can also request a specific Certificate of Insurance if needed. This policy has a \$1,000,000 combined single limit for bodily injury and/or property damage. When renting a car for Seminary business, you should decline additional liability insurance offered by the rental company. Be sure the renter has a copy of the Certificate of Insurance with him when he/she is leaving and renting a vehicle as it may be required. This policy is generally an excess policy to cover any damages in excess of the rental company's liability insurance limits.

It is recommended that when renting a vehicle, you note VTS name as a "c/o" on your rental contract in the address section.

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Physical Damage--The vehicle also needs to be covered by **Physical Damage** Coverage (Collision and Comprehensive). The Seminary does not have this insurance coverage for rented vehicles. If you are using a Purchase Order, a credit card not issued by VTS, or if renting anything over 8+ passenger van, the general policy is to purchase the Physical Damage Coverage from the rental company. If you are using a VTS Corporate Travel credit card and are renting a car or less than 8 passenger van, check the terms of your specific credit card as it may have the insurance included. If so, then you can waive the Physical Damage insurance. If in doubt, the Physical Damage Insurance is a good protection at usually a low daily rate. If the Physical Damage coverage is not purchased, then the Seminary would be required to pay for any applicable damages to the rented vehicle.

Any accident occurring in a rental vehicle must be reported to the rental company and to the VTS Business Office, with written details provided within one week of the accident.

Owned vehicles

Non (Seminary)-Owned Vehicle

If an employee uses their personal car on Seminary business and is in an accident, their personal insurance is primary, and they are responsible for any deductibles. If their personal insurance limits are exhausted, the Seminary has an excess policy that could then be available.

Employees should contact the Seminary Business Office when involved in an accident on Seminary business to provide written details of the accident.

Air Travel

Travelers are expected to book the lowest-priced economy class rates available. It is the responsibility of the traveler to obtain the most economical airfare available consistent with the purpose of the trip.

Whenever possible, travelers should take advantage of discounts and purchase airline tickets 30 days in advance, if possible. The Seminary will not reimburse upgrades to Business and First-Class seating. In addition, the Seminary will not pay for larger/more room seat fees or early bird check-in fees without prior written approval from a supervisor and a clear business need or medical/physical reason. Travelers who choose to upgrade must pay the difference between the lowest priced nonstop economy class fare and the final fare. Complete documentation of such arrangements must be submitted with the expense report.

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For travelers whose job requires regular and frequent travel (as approved by the Dean's Office), flights with legs of four hours or more may be booked into Business Class seating. The Seminary **will not** reimburse travelers for tickets purchased with frequent flyer miles.

The Seminary will reimburse individuals for change or cancellation penalties imposed by the airlines provided the change or cancellation was caused by unavoidable circumstances. Individuals must submit supporting documentation with their expense report along with a Refund/Exchange Notice showing the amount of penalty.

The cost of booking refundable/flexible tickets normally is far greater than the cost of canceling and booking a second flight. Therefore refundable/flexible airline tickets are not permitted.

Train Travel

Travelers are expected to book the lowest-priced economy class rates available. It is the responsibility of the traveler to obtain the most economical train fare available consistent with the purpose of the trip. Whenever possible, travelers should take advantage of discounts and purchase train tickets 30 days in advance, if possible. The Seminary will not reimburse upgrades to Business and First-Class seating. Travelers who choose to upgrade must pay the difference between the lowest priced coach class fare and the final fare. Complete documentation of such arrangements must be submitted with the expense report.

For travelers whose job requires regular and frequent travel (as approved by the Dean's Office), train travel that occurs completely over a mealtime may be upgraded to first class to accommodate eating. The Seminary will reimburse individuals for change or cancellation penalties imposed by the railway provided the change or cancellation was caused by unavoidable circumstances. Individuals must submit supporting documentation with their expense report along with a Refund/Exchange Notice showing the amount of penalty. The cost of booking refundable/flexible tickets normally is far greater than the cost of canceling and booking a second ticket. Therefore refundable/flexible train tickets are not permitted.

Accounting for Savings by Early Arrival

If an employee chooses to arrive early for a conference or meeting to take advantage of reduced airfare, the employee must reconcile the standard economy airfare with the reduced airfare, the additional hotel

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and meal expenses, and any other expenses that were incurred because of early arrival. This reconciliation should be submitted with the travel voucher.

If an employee chooses to arrive early or stay at a location after a conference has ended for personal reasons, the employee will not be reimbursed for hotel or meals for the time not spent on Seminary business. An employee is allowed to depart the day before the conference or meeting begins and stay one day after the conference ends if the conference ends late in the day.

Meals

Per Diem

Employees traveling on Seminary business are eligible for reimbursement for their personal meal expenses. Reimbursement on a per diem basis is the payment of a flat sum to cover meal and incidental expenses each day. If you are entertaining an authorized guest of the Seminary, then that meal should be deducted from the per diem. The Seminary will reimburse the full cost of the guest meal and only the per diem amount for the rest of the day. The per diem rates can be found on the government site:

<https://www.gsa.gov/travel/plan-book/per-diem-rates>

Determining Per Diem Amounts

Per Diem is calculated using the traveler's time of departure and time of return. If the traveler leaves at For travel days, 75% of the per diem may be claimed. On occasions when the journey starts before 9am, then the full per diem may be claimed.

Exceptions

Conference Meals

Conferences frequently provide meals to attendees as part of the registration fee. The traveler is not entitled to a meal per diem allowance for meals that are included as part of the registration fee. The same is true for any meetings attended where a catered lunch is provided or where the traveler has been included on a list of attendees for a business expense.

To assist with the determination of which meals were provided during a conference, a copy of the agenda (meeting schedule) must be included with the travel reimbursement request. Travel forms must also

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include the actual time of departure from the traveler's home or place of business for the trip and time the traveler arrived home (or ended their Seminary business if using personal time while on their trip.)

If certain circumstances, such as unique dietary needs, make it necessary for the traveler to forego the provided meal, the traveler may then claim up to the maximum meal allowance. **In such cases, a receipt(s) and a written explanation are required.**

Business Meals Incurred While in Travel Status

Per Diem may not be claimed for any meals that are reimbursed by the filing of a Business Entertainment Expense Report.

Lodging

The Seminary will pay actual room costs for each day that lodging away from home is required for business purposes. Travelers are entitled to accommodations that are suitably located and meet reasonable standards for safety, cleanliness, and comfort. Travelers should choose good quality, but reasonable priced hotels or motels whenever practical. However, when attending a conference, travelers may stay at the conference hotel even if it is not the most economical option available. If there is a choice of hosting hotels, travelers are expected to stay at the least expensive one.

The Seminary encourages travelers to look at the full range of options. With a per diem system, it might be more appropriate for travelers to use Airbnb. If this option is taken for a group, then all the travelers must be comfortable with Airbnb (and the sharing of an apartment or house). Any member of the group can insist on taking a hotel room.

Reservations

Since hotel reservations are usually guaranteed to assure lodging for late arrivals, travelers are required to cancel these reservations in a timely manner to prevent "no show" charges.

When requesting reimbursement, the original itemized hotel bill and the original receipt showing proof of payment must be attached to the travel reimbursement request form. The original receipt must contain:

- 1) The name of the traveler

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- 2) The lodging date(s)
- 3) The name, address, and telephone number of the lodging establishment
- 4) The per night cost
- 5) The total cost of lodging

With the per diem system, the receipt should be confined to the room (perhaps parking, business office charges and internet access). The following is a list of items are not reimbursable and will be sent back to the traveler for personal reimbursement:

- In-room movies or pay TV
- Laundry
- Personal telephone calls in excess of \$20 per trip
- Personal toiletries
- Mini bar refreshments
- Recreational Activities
- Newspapers

Reimbursable expenses include:

- Computer access charges for laptops
- Business fax charges
- Parking
- Business telephone calls

Seminary Issued Credit Card

Seminary issued credit cards are to be used to cover Seminary business related expenses only. No personal expenditures should be charged to the Seminary credit card. If a personal expense is mistakenly charged to the Seminary issued credit card the cardholder will be required to reimburse the Seminary immediately upon discovery. Repetitive use of the Seminary issued credit card for personal use will result in credit card termination and the cardholder may be subject to further disciplinary action up to and including termination as determined by the Dean and President or Vice President for Finance, Administration and Operation.

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Summary

- For the majority of trips, the Seminary will cover transport and modest hotel accommodation. All meals and incidental expenses are covered by the daily per diem.
- If you add vacation days to a trip (or have days that are not work related), then the per diem may not be claimed nor will the hotel stay, or rental car or other transportation cost be covered by the Seminary during those vacation or non-work-related days).
- Unless you are on authorized guest meals, everyone should simply claim the per diem for meals and incidental expenses.
- For local trips, the Seminary car should be used.

Appendix – Forms (available in Excel)

Virginia Theological Seminary										5-Sep-12
Expense Report										
Purpose: _____										Travel Period From: _____ To: _____
Statement #: _____										
Name: _____										Department: _____ Manager: _____
Employee ID: _____										
DATE	DESCRIPTION	Air & Trans.	Lodging	Fuel / Mileage	Phone	Meals & Tips	Entertainment	Other	TOTAL	Budget Line
									-	
									-	
									-	
									-	
									-	
									-	
									-	
									-	
									-	
		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	
SUBTOTAL									\$ -	
ADVANCES										01-1900-00
TOTAL REIMBURSEMENT									\$ -	
Note: Mileage reimbursement for personal car = \$0.555/mile for FY12										
Itemized Expenses or Description for "Other"										
DATE	DESCRIPTION	Amount								
			Authorized By _____ Date _____							

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